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line the transfer of technology and push manufacturing in India. Offset policy and Make in India form two main facets of the defence electronics policy. From the manufacturing perspective, DPSUs have traditionally occupied the entire breadth of the supply chain, and limited outsourcing from DPSUs is depriving the Indian industry of considerable opportunities.

On the other hand, the private industry has its own set of issues, which include critical shortages of key infrastructure and talent. Recommendations for each of the above issues have been categorised into short-, medium- and long-term action plans.

From a policy perspective, to promote exports of defence electronics, it is necessary to introduce a multiplier force that focuses on creating an export base for defence electronics around relevant technologies. It is also important to create an offset value estimation calculation criteria for ESOs to increase credibility and reduce ambiguity in calculation. In terms of offset credits, these must be provided based on the product value and not value-addition.

Similarly, for financing defence electronics programmes, it is critical to provide adequate financial support

in order to sustain R&D, especially in cases where developed products are T1 but not L1. This also necessitates expansion of technology development fund (TDF) from its current outlay, which is extremely meagre and only meets the needs of companies with nascent manufacturing and design capabilities.

It should be understood that, to create a robust industry, it is absolutely necessary to ensure that the cost base of Indian suppliers, including their profitability expectations, is aligned with global needs and norms. Currently, this is difficult as profitability expectations of Indian manufacturers, driven by their substantially higher cost of capital in India, are much above the global average. In such a scenario, it is critical to create a structure that subsidises the Indian cost structure. Hence, a model similar to that of the ESDM sector can be leveraged to provide incentives for A&D electronics manufacturing. In case of technology transfer, it is also important to encourage designs by Indian OEMs so as to retain full product intellectual property and future commercialisation potential within India.

Domestic capability building under Technology Perspective and

Capability Roadmap (TPCR) may require a change in orientation—from being focused solely on the product as the final desired output to capabilities (that can address multiple products) as a desired output.

From structural and infrastructure perspectives, the policy framework should create a comprehensive definition of what defence electronics means and align ITC-HS codes with it to streamline the import/export process. For the private industry, policies should incentivise investments in common infrastructure and allow timely access to testing facilities of DRDO/DPSUs.

Similarly, certifying agencies should be allowed to provide common certification facilities for the private sector. To develop talent in the defence electronics segment, the government should initiate steps to build a talent pipeline for the segment and encourage incubators.

To improve visibility for the private sector, technology roadmap of TPCR and Long-Term Integrated Perspective Plan (LTIPP) should be clearly drawn out. There should be focus on developing domestic capabilities to sustain and upgrade. Also, there should be increased involvement in DPSUs by building processes and systems that promote both private and public sector participation via outsourcing.

Availability of proper screening and approval systems is the need of the hour in the SE sector as components used here require a high degree of reliability in extreme working environments. Considering the importance of this aspect, ELCINA association has taken up a project for developing a high-tech test facility for the defence electronics sector with the objective of providing easy and cost-effective access for such facilities to MSMEs and SMEs. The facility will be open to all defence electronics manufacturers, and excess capacity will be offered to manufacturers in the electronics industry. **EFY**